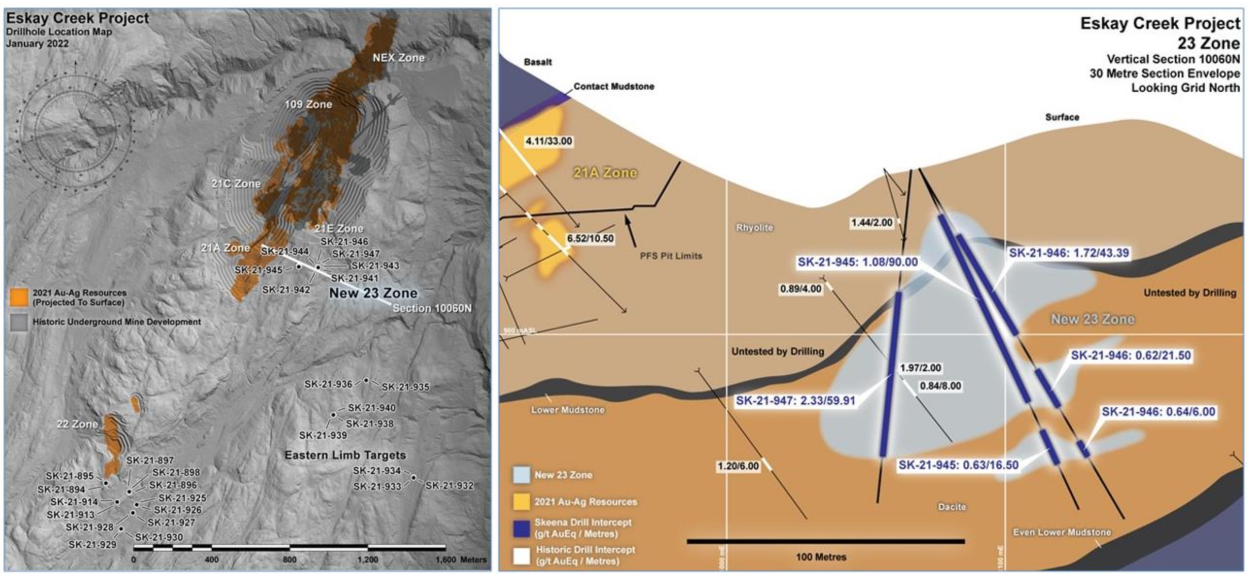
Ticker: SKE CN	**Cash:** C$74m	**Project**: Eskay Creek
Market cap: C$969m	**Price:** C$14.51/sh	**Country:** Canada, BC
RECOMMEND. (unc): BUY	*TARGET (unc): C$19.50/sh*	*RISK RATING: HIGH*

*Today's 23 Zone results outside the MRE are impressive on both grade and width (i.e 59.9m @ 2.3g/t and 90m @ 1.1g/t) for solid new resource additions. Still, the core is the sweetest at 4-4.5g/t, so we think this likely fits later into the schedule. Important here is that these hits are only 15m deep for an ultra-low strip. Better still, the majority of today's hits are in the dacite host (good met), with minor portions in mudstone (bad met), but even then are noted to have low As/Hg (good met). Looking ahead, the remaining ~22,000m of drilling will be allocated to the Albino TSF in 2Q22, an area shaping up already to be ~2Mt @ 6g/t, which could drive ~385koz at zero strip (plus other TSFs around), a useful addition already ahead of more drilling. Looking forward, the critical catalyst here is drilling / DFS, working hand in hand to target LOM production approaching 400koz pa AuEq or more if satellites like this continue to deliver. Permitting could be a material catalyst also as Skeena has truly partnered with the Tahltan to the benefit of all parties. As such, we **maintain our 0.8xNAV multiple and C$19.50/sh PT based** on 65% gearing, although given flexibility on anything from exploration spend to divestments and alternative financing such as silver streaming, this is only an approximation for now.*

Figure 1. Eskay Creek project (A) plan map (B) 23 Zone x-section showing today's results



Source: Skeena

New 23 Zone returns 60m @ 2.3g/t AuEq near surface outside the MRE

Skeena reported **59.9m @ 2.3g/t and 90m @ 1.1g/**t drilled at the new 23 Zone located outside the MRE only 15m vertically below surface, and **22m @ 3.5g/t AuEq** from the Even Lower Mudstone (ELM) ~200m SE of the 22 Zone and included narrower subintervals of **0.7m @ 59.9g/t AuEq and 0.9m @ 19.7g/t AuEq.** To date, 12,890m has been drilled to date of the 35,000m program (~37%), with the balance being allocated to the Albino TSF in 2Q22. Separately on December 24th, Skeena closed a private placement and collected gross proceeds of C$30.9m from selling 1.47 FT shares @ C$21.00/sh to Franco-Nevada.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, PFS and DFS in coming 18M

Catalysts

- 1H22: Permitting update
- 1Q22: BFS including expanded resource
- 1H/2H22: AWF infill / expansion drilling

Research

Brock Salier (London) M: +44 7400 666 913 bsalier@sprott.com
Justin Chan (London) M: +44 7554 784 688 jchan@sprott.com
Brandon Gaspar (Toronto) M: +1 437 533 3142 bgaspar@sprott.com
Eleanor Magdzinski (Toronto) M: +1 705 669 7456 emagdzinski@sprott.com

Equity Research

19 January 2022

Ticker: SKE CN	**Price / mkt cap:**	C$14.51/sh, C$969m	**Project PNAV today:**	0.62x	**Asset:**	Eskay Creek / Snip
Author: B Salier/ B Gaspar	**Rec / 0.8xNAV PT:**	BUY, C$19.5/sh	**1xNAV$_{1Q22}$ FF FD:**	C$23.39/sh	**Country:**	Canada: BC

Commodity price	**CY18A**	**CY19A**	**CY20A**	**CY21E**	**CY22E**
Gold price	1,850	1,850	1,850	1,850	1,850
SOTP *project* valuation*					
	C$m	**O/ship**	**NAVx**	**C$/sh**	
Ungeared proj. @ build start (2Q22)	1,749	100%	1.00x	23.27	
Net cash 3Q21 + Franco proceeds	74	100%	1.00x	0.98	
Cash from options	85	100%	1.00x	1.13	
Eskay Ck resources ex reserve @US$50/oz	88	100%	1.00x	1.16	
Snip (US$75/oz)	62	100%	1.00x	0.82	
Asset NAV5% C$1850/oz	2,057			27.4	
**Shares diluted for options but not mine build*		Market P/NAV$_{5\%,1Q22}$		0.55x	

Asset value: 1xNPV project @ build start (C$m, ungeared)*					
Project NPV (C$m)*	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
10.0% discount	1,569	1,650	1,761	1,873	1,984
7.5% discount	1,746	1,838	1,962	2,085	2,208
5.0% discount	1,952	**2,057**	2,195	2,333	2,471
Ungeared project IRR:	65%	66%	69%	73%	76%
Project NPV (C$m)*	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
3.7g/t AuEq	1,620	1,746	1,871	1,963	2,087
4.1g/t AuEq	1,952	**2,057**	2,195	2,333	2,471
4.5g/t AuEq	2,249	2,401	2,552	2,703	2,854
NPV5 (C$m)*	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
Payability: 67%	1,620	1,746	1,871	1,963	2,087
Payability: 75%	1,952	**2,057**	2,195	2,333	2,471
Payability: 82%	2,249	2,401	2,552	2,703	2,854

**Project level NPV, excl finance costs and central SGA, discounted to build start*

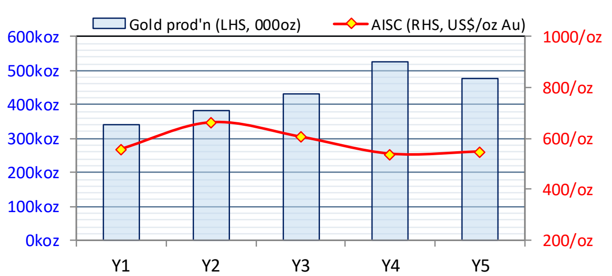
***Group* valuation over time^**	**1Q22**	**1Q23**	**1Q24**	**1Q25**	**1Q26**
Eskay Creek (C$m)	1,749	2,086	2,451	2,205	1,959
Net cash prior qtr (C$m)	26	7	(272)	49	364
G&A and finance costs (C$m)	(163)	(145)	(130)	(102)	(78)
Cash from options (C$m)	85	85	85	85	85
Snip	62	62	62	62	62
NAV FF FD (C$m)	1,758	2,094	2,196	2,300	2,391
1xNAV$_{5\%}$/sh FF FD (C$/sh)	**23.39^**	**27.85^**	**24.36***	**25.51***	**26.53***
Equity ROI from spot (% pa)		92%	41%	33%	27%

Geared company NAV diluted for mine build, net G&A and finance costs					
2Q22 1xNAV FF FD (C$/sh)^	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
10.0% discount	19.41	20.63	22.31	23.99	25.68
7.5% discount	21.06	22.39	24.18	25.98	27.79
5.0% discount	22.90	**24.36**	26.29	28.22	30.16
Geared project IRR:	59%	60%	64%	67%	70%
2Q22 1xNAV FF FD (C$/sh)^	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
Payability: 67%	18.20	19.94	21.67	22.95	24.68
Payability: 75%	22.90	**24.36**	26.29	28.22	30.16
Payability: 82%	27.13	29.26	31.39	33.53	35.67

*^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity*

Production	**Y1**	**Y2**	**Y3**	**Y4**	**Y5**
Gold production (000oz)	341	382	431	527	477
C1 cost (US$/oz)	511	618	565	504	511
AISC cost (US$/oz)	559	666	608	540	549

AISC = C1 + ug sustaining capex, Y1 = 12M to Dec 2024



Source: SCP estimates

Resource / Reserve	**AuEq (koz)**	**AuEq (g/t)**
Pittable resource	5425koz	4.17g/t
Underground resource	224koz	5.41g/t
Snip	646koz	13.60g/t

Funding: uses		**Funding: sources**	
PFS capex	C$448m	3Q21 cash + options*	C$74m
SCPe G&A to 1st Au + ABX $	C$21m	Mine debt @ 65% gearing	C$291m
SCPe pre-production expl'n	C$15m	Mine build equity at 0.6xNAV	C$235m
SCPe finance costs + wkg cap	C$57m	Total proceeds	C$600m
Total uses	C$541m	*Buffer*	*C$59m*

**Cash from options expiring pre first pour*

Share data			
Basic shares (m)	66.8	FD with build equity raise	90.1
FD with options (m)	75.2		

Ratio analysis	**CY21E**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
Average shares out (m)	91.1	79.5	81.5	81.5	81.5
EPS (C$/sh)	-	-	-	4.00	3.26
CFPS (C$/sh)	-	-	-	3.94	3.86
EV (C$m)	1,297.9	1,148.4	1,456.6	1,183.1	1,183.1
FCF yield (%)	-	-	-	27%	27%
PER (x)	-	-	-	3.6x	4.5x
P/CF (x)	-	-	-	3.7x	3.8x
EV/EBITDA (x)	-	-	-	2.5x	2.3x

Income statement	**CY21E**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
Net revenue (C$m)	-	-	-	672.9	754.2
Gross profit (C$m)	**-**	**-**	**-**	**507.5**	**537.4**
D&A, attrib (C$m)	0.2	-	-	54.2	62.4
Admin (C$m)	20.8	16.0	16.0	16.0	16.0
Expensed exploration (C$m)	92.1	15.0	-	-	-
Finance cost (C$m)	(0.2)	-	(4.6)	23.1	17.5
Royalty (C$m)	-	-	-	12.3	13.8
Forex, other (C$m)	(9.1)	-	-	-	-
Taxes (C$m)	-	-	-	75.5	162.0
Net income (C$m)	**(103.8)**	**(31.0)**	**(11.4)**	**326.4**	**265.7**

Cash flow, attrib.	**CY21E**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
EBIT (C$m)	(104.0)	(31.0)	(16.0)	425.0	445.2
Add back D&A (C$m)	0.2	-	-	54.2	62.4
Less tax + net interest (C$m)	(0.2)	-	(4.6)	98.6	179.5
Net change in wkg cap (C$m)	(5.9)	-	-	(53.1)	(6.3)
Add back other non-cash (C$m)	3.7	6.5	6.5	6.5	6.5
Cash flow ops (C$m)	**(105.7)**	**(24.5)**	**(4.9)**	**334.0**	**328.3**
PP&E - build + sust. (C$m)	(8.1)	(229.3)	(258.7)	(12.6)	(14.0)
PP&E - expl'n (C$m)	(0.5)	-	(15.2)	-	-
Cash flow inv. (C$m)	**(8.6)**	**(229.3)**	**(273.9)**	**(12.6)**	**(14.0)**
Share issue (C$m)	96.0	235.0	-	-	-
Proceeds from sale (C$m)	5.0	-	-	-	-
Debt draw (repay) (C$m)	-	97.1	194.1	-	(97.1)
Cash flow fin. (C$m)	**101.0**	**332.1**	**194.1**	**-**	**(97.1)**
Net change in cash (C$m)	(13.3)	78.3	(84.7)	321.4	217.3
EBITDA (C$m)	(103.6)	(31.0)	(16.0)	479.2	507.6

Balance sheet	**CY21E**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
Cash (C$m)	25.6	103.9	19.2	340.7	558.0
Acc rec., inv, prepaid (C$m)	7.3	7.3	7.3	53.6	63.8
PP&E + other (C$m)	101.0	330.4	604.3	562.7	514.2
Total assets (C$m)	**134.0**	**441.6**	**630.8**	**957.0**	**1,136.0**
Debt (C$m)	1.6	98.7	292.8	292.8	195.7
Accounts payable (C$m)	16.7	16.7	16.7	10.0	13.7
Others (C$m)	7.4	7.4	7.4	7.4	7.4
Total liabilities (C$m)	25.7	122.7	316.9	310.1	216.8
Sh'hlds equity + wrnts (C$m)	335.9	577.4	583.9	590.4	597.0
Retained earn'gs + rsvs (C$m)	(227.6)	(258.6)	(270.0)	56.4	322.2
Liabilities + equity (C$m)	**134.0**	**441.6**	**630.8**	**957.0**	**1,136.0**

DISCLOSURES & DISCLAIMERS

This research report (as defined in IIROC Rule 3400) is issued and approved for distribution in Canada by Sprott Capital Partners LP ("SCP"), an investment dealer who is a member of the Investment Industry Regulatory Organization of Canada ("IIROC") and the Canadian Investor Protection Fund ("CIPF"). The general partner of SCP is Sprott Capital Partners GP Inc. and SCP is a wholly-owned subsidiary of Sprott Inc., which is a publicly listed company on the Toronto Stock Exchange under the symbol "SII". Sprott Asset Management LP ("SAM"), a registered investment manager to the Sprott Funds and is an affiliate of SCP. This research report is provided to retail clients and institutional investors for information purposes only. The opinions expressed in this report are the opinions of the author and readers should not assume they reflect the opinions or recommendations of SCP's research department. The information in this report is drawn from sources believed to be reliable but the accuracy or completeness of the information is not guaranteed, nor in providing it does SCP and/or affiliated companies or persons assume any responsibility or liability whatsoever. This report is not to be construed as an offer to sell or a solicitation of an offer to buy any securities. SCP accepts no liability whatsoever for any loss arising from any use or reliance on this research report or the information contained herein. Past performance is not a guarantee of future results, and no representation or warranty, expressed or implied, is made regarding future performance of any security mentioned in this research report. The price of the securities mentioned in this research report and the income they generate may fluctuate and/or be adversely affected by market factors or exchange rates, and investors may realize losses on investments in such securities, including the loss of investment principal. Furthermore, the securities discussed in this research report may not be liquid investments, may have a high level of volatility or may be subject to additional and special risks associated with securities and investments in emerging markets and/or foreign countries that may give rise to substantial risk and are not suitable for all investors. SCP may participate in an underwriting of, have a position in, or make a market in, the securities mentioned herein, including options, futures or other derivatives instruments thereon, and may, as a principal or agent, buy or sell such products.

DISSEMINATION OF RESEARCH: SCP's research is distributed electronically through email or available in hard copy upon request. Research is disseminated concurrently to a pre-determined list of clients provided by SCP's Institutional Sales Representative and retail Investment Advisors. Should you wish to no longer receive electronic communications from us, please contact unsubscribe@sprott.com and indicate in the subject line your full name and/or corporate entity name and that you wish to unsubscribe from receiving research.

RESEARCH ANALYST CERTIFICATION: Each Research Analyst and/or Associate who is involved in the preparation of this research report hereby certifies that:

- The views and recommendations expressed herein accurately reflect his/her personal views about any and all of the securities or issuers that are the subject matter of this research report;
- His/her compensation is not and will not be directly related to the specific recommendations or view expressed by the Research analyst in this research report;
- They have not affected a trade in a security of any class of the issuer within the 30-day period prior to the publication of this research report;
- They have not distributed or discussed this Research Report to/with the issuer, investment banking group or any other third party except for the sole purpose of verifying factual information; and
- They are unaware of any other potential conflicts of interest.

UK RESIDENTS: Sprott Partners UK Limited ("Sprott") is an appointed representative of PillarFour Securities LLP which is authorized and regulated by the Financial Conduct Authority. This document has been approved under section 21(1) of the FMSA 2000 by PillarFour Securities LLP ("PillarFour") for communication only to eligible counterparties and professional clients as those terms are defined by the rules of the Financial Conduct Authority. Its contents are not directed at UK retail clients. PillarFour does not provide investment services to retail clients. PillarFour publishes this document as non-independent research which is a marketing communication under the Conduct of Business rules. It has not been prepared in accordance with the regulatory rules relating to independent research, nor is it subject to the prohibition on dealing ahead of the dissemination of investment research. It does not constitute a personal recommendation and does not constitute an offer or a solicitation to buy or sell any security. Sprott and PillarFour consider this note to be an acceptable minor non-monetary benefit as defined by the FCA which may be received without charge. This is because the content is either considered to be commissioned by Sprott's clients as part of their advisory services to them or is short term market commentary. Neither Sprott nor PillarFour nor any of its directors, officers, employees or agents shall have any liability, howsoever arising, for any error or incompleteness of fact or opinion in it or lack of care in its preparation or publication; provided that this shall not exclude liability to the extent that this is impermissible under the law relating to financial services. All statements and opinions are made as of the date on the face of this document and are not held out as applicable thereafter. This document is intended for distribution only in those jurisdictions where PillarFour is permitted to distribute its research.

IMPORTANT DISCLOSURES FOR U.S. PERSONS: This research report was prepared by Sprott Capital Partners LP ("SCP"), a company authorized to engage in securities activities in Canada. SCP is not a registered broker/dealer in the United States and, therefore, is not subject to U.S. rules regarding the preparation of research reports and the independence of research analysts. This research report is provided for distribution to "major U.S. institutional investors" in reliance on the exemption from registration provided by Rule 15a-6 of the U.S. Securities Exchange Act of 1934, as amended (the "Exchange Act"). Any U.S. recipient of this research report wishing to effect any transaction to buy or sell securities or related financial instruments based on the information provided in this research report should do so only through Sprott Global Resource Investments Ltd. ("SGRIL"), a broker dealer in the United States registered with the Securities Exchange Commission ("SEC"), the Financial Industry Authority ("FINRA"), and a member of the Securities Investor Protection Corporation ("SIPC"). Under no circumstances should any recipient of this research report effect any transaction to buy or sell securities or related financial instruments through SCP.

SGRIL accepts responsibility for the contents of this research report, subject to the terms set out below, to the extent that it is delivered to a U.S. person other than a major U.S. institutional investor. The analyst whose name appears in this research report is not licensed, registered, or qualified as a research analyst with FINRA and may not be an associated person of SGRIL and, therefore, may not be subject to applicable restrictions under FINRA Rule 2241 regarding communications by a research analyst with a subject company, public appearances by the research analyst, and trading securities held by a research analyst account. To make further inquiries related to this report, United States residents should contact their SGRIL representative.

ANALYST CERTIFICATION / REGULATION AC: The analyst and associate certify that the views expressed in this research report accurately reflect their personal views about the subject securities or issuers. In addition, the analyst and associate certify that no part of their compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this research report.

SPROTT CAPITAL PARTNERS EXPLANATION OF RECCOMENDATIONS: Should SCP issue research with recommendations, the research rating guidelines will be based on the following recommendations:

BUY: The stocks total returns are expected to be materially better than the overall market with higher return expectations needed for more risky securities markets

NEUTRAL: The stock's total returns are expected to be in line with the overall market

SELL: The stocks total returns are expected to be materially lower than the overall market

TENDER: The analyst recommends tendering shares to a formal tender offering

UNDER REVIEW: The stock will be placed under review when there is a significant material event with further information pending; and/or when the research analyst determines it is necessary to await adequate information that could potentially lead to a re-evaluation of the rating, target price or forecast; and/or when coverage of a particular security is transferred from one analyst to another to give the new analyst time to reconfirm the rating, target price or forecast.

NOT RATED ((N/R): The stock is not currently rated

Research Disclosure		Response
1	SCP and its affiliates collectively beneficially owns 1% or more of any class of the issuer's equity securities[1]	**YES**
2	The analyst or any associate of the analyst responsible for the report or recommendation or any individual directly involved in the preparation of the report holds or is short any of the issuer's securities directly or through derivatives	**NO**
3	An SCP partner, director, officer or analyst involved in the preparation of a report on the issuer, has during the preceding 12 months provided services to the issuer for remuneration other than normal course investment advisory or trading execution services	**NO**
4	SCP has provided investment banking services for the issuer during the 12 months preceding the date of issuance of the research report or recommendation	**YES**
5	Name of any director, officer, employee or agent of SCP who is an officer, director or employee of the issuer, or who serves in an advisory capacity to the issuer	**NO**
6	SCP is making a market in an equity or equity related security of the issuer	**NO**
7	The analyst preparing this report received compensation based upon SCP's investment banking revenue for the issuer	**NO**
8	The analyst has conducted a site visit and has viewed a major facility or operation of the issuer	**YES**
9	The analyst has been reimbursed for travel expenses for a site visit by the issuer	**NO**

Sprott Capital Partners Equity Research Ratings:

Summary of Recommendations as of January 2022	
BUY:	50
HOLD:	0
SELL:	0
UNDER REVIEW:	0
TENDER:	1
NOT RATED:	0
TOTAL	51

[1] As at the end of the month immediately preceding the date of issuance of the research report or the end of the second most recent month if the issue date is less than 10 calendar days after the end of the most recent month